EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Buguey was founded and created on May 20, 1623 as a town by virtue of the Royal Decree issued by the King of Spain. The Municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the Municipality of Lal-lo, on the east by the Municipality of Sta Teresita (former part of Buguey) and on the west by the Municipality of Aparri.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Buguey for the year 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Buguey, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	364,487,758.52	303,255,726.15	61,232,032.37
Liabilities	77,928,551.30	75,835,908.07	2,092,643.23
Government Equity	286,559,207.22	227,419,818.08	59,139,389.14
Financial Performance			
Income	223,725,544.47	203,523,149.20	20,202,395.27
Expenses	170,529,007.80	161,628,041.79	8,900,966.01
Net Income	53,196,536.67	41,895,107.41	11,301,429.26

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Land Development & Storm Water Drainage System	P5,999,251.13
Construction of Storm Water Drainage System	5,778,447.33
Rehab of Gym (Licerio Antiporda Sr. National High School – Main Campus)	2,239,605.07
Rehabilitation of Health Center	1,068,230.04
Flood Mitigation, EPBR	749,042.43
Construction of Perimeter Fence, Buguey North Central School	420,772.73
Construction of Basketball Court Bleachers	348,867.88
Total	**P10,604,965.48**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Buguey, Cagayan for the year-ended December 31, 2023 due to: (1) non-conduct of the one-time cleansing procedures for its PPE and non-submission of Report on Physical Count of Property, Plant and Equipment, with a net book value of P256,311,906.81; (2) existence of bank reconciling items reflected in the Bank Reconciliation Statements amounting to P10,490,035.69, which remained unadjusted in the books of accounts of the Municipality for a long period of time; and (3) existence of long outstanding receivables amounting to P1,136,576.21.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The Municipality incurred various expenses amounting to P9,573,008.20 for the celebration of Agri Festival, Malaga and Guraman Festival, Crab Festival, 400th year celebration under the patronage of Saint Anne and Lenten Season, which are contrary to Section 2 of Presidential Decree No. 1445, Section 335 of Republic Act No. 7160 and COA Circular No. 2012-003, hence, are considered excessive and unnecessary.**

   We recommended that the Management submit an explanation/justification that the Municipality has been benefited from such undertakings. Henceforth, we recommended that the Sangguniang Bayan appropriate funds that will enable Management to conduct modest yet meaningful celebrations of its various socio-cultural activities by regulating and limiting expenditures only to those that are relevant and necessary to the occasion. Lastly, ensure that no public funds are spent on religious activities and prioritize project and activities that promote the general welfare of the public.

2. **The local economic enterprises of the Municipality incurred a net loss totalling to P7,967,022.47 as at December 31, 2023, thus, defeating the purpose of their establishment.**

   We recommended that the Management review and assess the existing LEEs to help the LGU determine whether to continue, modify, expand, or scale down the Other Economic Enterprise's operations. Also, we recommended that the Management install measures to mitigate further losses on the operation of Public Utilities.

3. **The Municipality incurred a deficit in actual revenue and receipts against budget amounting to P3,959,628.78, which resulted in the non-implementation of some programmed projects and activities, thus, affecting the delivery of basic services and facilities intended to its constituents.**

   We recommended that the Management, thru the Local Chief Executive, require the Municipal Assessor, Municipal Treasurer and the BPLO Head to conduct strategic planning on how to increase the LGU's tax collection and undertake massive campaign on the RPT deadline and the related prompt payment discounts.

4. **The year-end balances of Intra-agency Accounts, Due from/to Other Funds, have a discrepancy of P196,265.54, contrary to Section 111 of Presidential Decree No. 1445, thus, affecting the accuracy and reliability of these accounts in the financial statements.**

   We recommended that the Management direct the Municipal Accountant to reconcile the accounts, Due from/to Other Funds, and effect the necessary adjustments to present the accurate balances of these reciprocal accounts pursuant to Section 111 of P.D. 1445.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	32,346,198.08	-	-	32,346,198.08	-
Current Year	-	-	-	-	-
Total	**32,346,198.08**	**-**	**-**	**32,346,198.08**	**-**
Disallowances					
Prior Years	1,258,981.24	-	28,866.07	1,230,115.17	2.29%
Current Year	-	-	-	-	-
Total	**1,258,981.24**	**-**	**28,866.07**	**1,230,115.17**	**2.29%**

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the thirteen (13) audit recommendations in the CY 2022 Annual Audit Report, five (5) were fully implemented, four (4) were partially implemented, and four (4) were not implemented and reiterated in Part II of this Report.